Chapter Thirty-Nine

Public Debt Is the Achilles Heel of India

Size of Debt and Liabilities of the Government of India

The Budget 2020–21 Statement of Liabilities of the Central government, published as part of the Receipts Budget, stated that the public debt of the government was Rs 73.45 lakh crore at the end of 2018–19. In addition, there were other liabilities of Rs 17.39 lakh crore. Together, the total debt and liabilities of the Government of India, as per the Budget Papers, was Rs 90.83 lakh crore in financial year 2018–19. India's GDP, as per the first revised estimates published by NSO on 29 May 2020, for financial year 2018–19 was Rs 189.71 lakh crore at current prices. India's public debt as a proportion of the GDP was 38.72 per cent and total debt and liabilities 47.88 per cent.

The Budget 2021–22 Statement of Liabilities states that the public debt of India in 2019–20 was Rs 83.20 lakh crore, comprising internal debt of Rs 80.20 lakh crore and external debt of Rs 2.99 lakh crore. In addition, according to the Statement, the Government of India had other liabilities of Rs 19.27 lakh crore. Public debt together with other liabilities aggregated the net liabilities of the Central government at Rs 102.47 lakh crore. As a quick estimate of GDP places India's nominal GDP for financial year 2019–20 at Rs 203 lakh crore, the public debt to GDP ratio for 2019–20 works out to be 40.99 per cent. The total liabilities of the Government of India as a proportion of GDP worked out to be 50.47 per cent of GDP.

The Status Paper on Government Debt 2018–19 reports that the Central government's liabilities were Rs 86.73 lakh crore at the end of 2018–19. This comprised the public debt of Rs 75.88 lakh crore, other liabilities of Rs